WILDCAT · RISK TRANCHING

Senior & junior, on-chain

A plain-English primer for credit-desk and business-development operators: what Wildcat's risk-tranching is in familiar structured-credit terms, who buys each piece and why, and where it sits relative to a traditional securitisation and to other on-chain tranching.

Prepared 27 June 2026 · Ethereum mainnet · concerns the Wintermute USDC facility as the worked example

> **THE ONE-LINER**
>
> **Take a single private-credit facility (say, Wintermute borrowing USDC) and split the *lender* side into two pieces: a senior tranche that earns a priority, target coupon protected by a first-loss buffer, and a junior tranche that takes the first loss in exchange for leveraged excess spread. Same borrower, same loan; two risk/return profiles, settled and enforced by smart contract.**

From the borrower's seat nothing changes; it is still a single line of credit ("unitranche to the borrower"). The structuring happens on the lender side, so a desk can place the safe piece with conservative capital and the levered piece with risk-seeking capital, deepening the facility without renegotiating the loan.

1 The structure, in terms you already use

STRUCTURED-CREDIT CONCEPT	HOW IT SHOWS UP HERE
Senior / junior tranches	Two transferable tokens, `sr-wmtUSDC` (senior) and `jr-wmtUSDC` (junior), each a claim on the same underlying facility.
Attachment / subordination	Junior is sized at ≥ 20% of capital, so the senior sits behind a 20% first-loss cushion (a 20% attachment point). Senior leverage is capped at ~4×.
Interest waterfall	Facility interest pays the senior's target coupon first; the residual ("excess spread") flows to junior. Programmatic, continuous, no servicer.
Loss waterfall	Losses hit junior to zero before senior is touched. Strict first-loss subordination, enforced in code.
Over-collateralisation / credit enhancement	The junior buffer *is* the credit enhancement for senior; there is no external guarantor or wrap.
NAV / mark	Each tranche's value is computed on-chain every block from the facility's realised value: a live, auditable mark rather than a monthly statement.
Event of default	Mirrors the facility's own legal default definition (90 days past the grace period) on-

② How the lifecycle runs

- **Subscribe.** A KYC'd lender deposits into the senior or the junior tranche and receives the corresponding token. Junior is restricted to qualified, sophisticated first-loss providers.
- **Accrue.** As the borrower pays interest, the senior token accretes toward its target coupon; the junior token captures everything above that. Its return is *levered* because it earns the spread on the whole facility against a thin slice of capital.
- **Redeem.** Exits are processed through the facility's existing redemption schedule: a request/claim queue, not instant daily liquidity. When proceeds are partial, senior is paid out first.
- **Default & recovery.** If the borrower is in default per the facility terms, the structure freezes the senior's accrued claim and winds down: recoveries (including anything the off-chain legal/enforcement process returns) are distributed senior-first, with junior absorbing the shortfall.

③ The two products at a glance

Senior · sr-wmtUSDC

Profile	Capital preservation
Return	Priority coupon, a share of the facility APR
Protection	20% junior first-loss beneath it
Loss	Only after junior is fully wiped
Liquidity	Queue-based; first in line on exit
Buyer	Treasuries, conservative credit, cash-plus

Junior · jr-wmtUSDC

Profile	Levered first-loss / "equity"
Return	Excess spread, amplified (~4× the slice)
Protection	None; absorbs losses first
Loss	First dollar; can be written to zero
Liquidity	Queue-based; paid after senior
Buyer	Credit funds, prop desks, yield-seekers

④ Why it appeals

To a conservative (senior) buyer

A defined, priority coupon on a counterparty you can name, sitting behind a hard 20% first-loss buffer, with the collateral and the waterfall visible on-chain in real time rather than read off a monthly servicer report. Higher yield than money-market / bills, with an explicit subordination level you can underwrite.

To a risk-seeking (junior) buyer

A way to express a credit view and harvest carry: levered exposure to the facility's spread, with loss mechanics that are programmatic and predictable, so you know where you attach and detach. No fund wrapper, and no lock-up beyond the facility's own redemption schedule.

To a desk / originator / BD

Widen the buyer base for a facility without touching the borrower's terms: sell the senior to capital that can't

⑤ How it's different

vs. a traditional securitisation

	TRADITIONAL	WILDCAT TRANCHING
Setup	SPV, trustee, servicer, offering docs; weeks of work plus legal cost	Deploy a contract per facility; minutes, no SPV
Ongoing roles	Trustee + servicer + paying agent fees	No intermediary; the waterfall runs itself
Transparency	Periodic remittance reports	Live, per-block, fully auditable on-chain
Settlement	T+ days, manual	Atomic, programmatic
Secondary	OTC, opaque	Transferable tokens; composable as collateral
Trade-offs	Established legal & recovery regime	Smart-contract & stablecoin risk; nascent secondary depth; recovery still relies on off-chain legal enforcement

vs. other on-chain tranching (Strata, Royco, Pareto)

Those protocols tranche *liquid* yield, where loss is a smoothly-falling price. Wildcat's is built for undercollateralised private credit, where loss is a discrete credit event. The loss trigger is therefore tied to the facility's *actual* default definition rather than a market mark, and the whole layer is owned by Wildcat: no third-party dependency or revenue share, and the tranche tokens integrate into the same KYC'd deposit flow lenders already use.

⑥ What to be clear-eyed about

- **Semi-liquid, not a daily-liquidity fund.** Exits run through the facility's redemption queue; in stress they fill partially and senior-first.
- **Single-name concentration.** A tranche set sits over one borrower's facility; this is structuring, not diversification (a desk diversifies across facilities).
- **Junior is genuine first-loss.** It can be written to zero before senior takes a cent.
- **Recovery is part on-chain, part legal.** The contract distributes whatever comes back senior-first, but ultimate recovery on a default still depends on the off-chain enforcement / loan-agreement process.
- **Smart-contract & asset risk.** Standard DeFi caveats apply; the system is being taken through external audit before mainnet use.

STATUS The tranching engine is implemented and tested, validated end-to-end against the live facility on a mainnet fork, and not yet audited. This primer describes the commercial behaviour; final terms per facility (coupon, attachment, liquidity